

Purchase Approval Policy

Field	Details
Document ID	BT-FIN-005
Version	2.2
Effective Date	1 January 2026
Policy Owner	Chief Financial Officer
Department	Finance
Approved By	Chief Executive Officer
Next Review	31 December 2026

1. Purpose

This policy defines who can approve purchases, what documents are needed and how vendors are selected, so that Beacon gets good value and spending is controlled.

2. Scope

This policy applies to all purchases of goods and services by Beacon, including IT hardware, software and subscriptions, office supplies, consulting and marketing services.

3. Approval Limits

Purchase Value (excluding GST)	Approval Required
Up to ₹25,000	Reporting Manager
Above ₹25,000 and up to ₹1,00,000	Department Head
Above ₹1,00,000 and up to ₹5,00,000	Department Head and Finance Controller
Above ₹5,00,000	Chief Financial Officer and Chief Executive Officer

4. Main Rules

4.1 Purchase Requests and Purchase Orders

- A purchase request must be raised on the Beacon Finance Portal before any commitment is made to a vendor.
- A purchase order (PO) is mandatory for all purchases above ₹10,000. A PO is issued by Finance after approval.
- Purchases of ₹10,000 or less may be made through the corporate card (BT-FIN-003) or reimbursement (BT-FIN-002) without a PO, with manager approval.
- Goods or services must not be ordered before approval. Purchases made without approval may not be paid, and the employee may be responsible.

4.2 Quotations and Vendor Selection

- Purchases above ₹1,00,000 require at least 3 quotations.
- Purchases above ₹5,00,000 require a formal comparison reviewed by the Finance Controller.

- A single vendor may be used only with a written reason, approved by the approver of that purchase value.
- New vendors must submit company registration, PAN, GST certificate and bank details to Finance for onboarding, which takes up to 5 working days.

4.3 No Splitting of Orders

Purchases must not be split into smaller orders to stay below an approval limit. Splitting is a policy violation.

4.4 IT Purchases

- All laptops, devices, software and SaaS subscriptions need review by the Head of IT before approval (see BT-IT-002 and BT-IT-004).
- For software, a licence costing more than ₹25,000 per year needs Department Head approval in addition to manager approval.

4.5 Receipt and Payment

- Goods and services must be confirmed as received on the Finance Portal before the vendor's invoice is paid.
- Vendor invoices are paid within 30 days of receiving a correct invoice.
- Advance payments to vendors above ₹1,00,000 need Finance Controller approval.

4.6 Contracts

Contracts with vendors must be reviewed by the Legal team and signed by the Chief Financial Officer if the value is above ₹5,00,000. Contracts below this are signed by the Department Head.

4.7 Conflict of Interest

Employees must declare any personal or family relationship with a vendor. They must not approve purchases from that vendor.

5. Exceptions

- **Emergency purchases:** If a purchase is needed urgently to prevent business loss or restore a critical system, the Department Head may approve verbally. The purchase request must be raised within 2 working days with the reason.
- **Existing contracts:** Purchases under an approved rate contract do not need fresh quotations.
- The CFO may waive the quotation requirement in special cases, with a written reason.

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